

KEY TERMINOLOGY

ECONOMY



- Final Goods
- Intermediate Goods
- Consumer Goods
- Capital Goods
- Stock & Flow

MODULE - 20

- Gross Capital Formation
- Depreciation
- Inventory
- Factors of Production
- Circular Flow of Income



FINAL GOODS AND INTERMEDIATE GOODS



COTTON



YARN



CLOTH



SHIRT



INTERMEDIATE GOODS



FINAL GOODS



TEA POWDER, MILK AND SUGAR

1

FINAL GOODS

TEA
POWDER



MILK



SUGAR



Here, these are final goods



TEA POWDER, MILK AND SUGAR

1

INTERMEDIATE GOODS

TEA
POWDER



MILK



SUGAR



Here, These are intermediate goods



FINAL GOODS AND INTERMEDIATE GOODS

TEA
POWDER



MILK



SUGAR



1



2



*Hence, the classification
is not in the nature of
goods but, in the
economic nature of its
use*



KEY TERMINOLOGY IN ECONOMY



GOODS

CONSUMER GOODS

CAPITAL GOODS



CAR



SHIRT



AC



MOBILE



TOOTH PASTE



VEGETABLES



EXPRESSWAY



TEXTILE MACHINERY





GOODS



MOBILE



LAPTOP



TABLE

- Items for sale
- Possessions that can be moved

GOODS

CAPITAL
GOODS

CONSUMER
GOODS





CAPITAL GOODS



**MACHINERY IN
TEXTILE SECTOR**



**MACHINERY IN
MANUFACTURING SECTOR**



EXPRESSWAY



CONSUMER GOODS



SOAP



LAPTOP



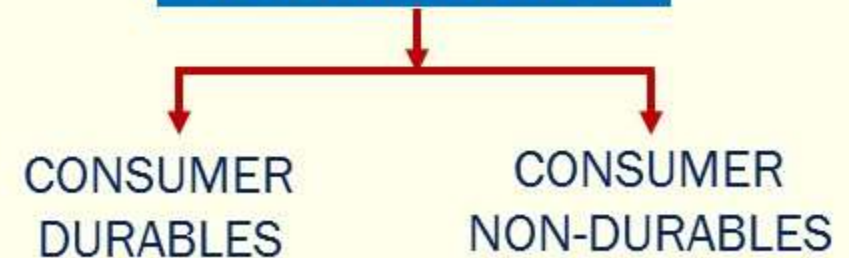
MOBILE



TABLE

- To satisfy human wants directly
- Goods, which meet the immediate need of the consumer
- Meant for consumption/use by the users

CONSUMER GOODS





CONSUMER GOODS

CONSUMER DURABLES



CAR



JEWELLERY



WASHING MACHINE



AIR CONDITIONER

- They do not have to be purchased quite frequently (typically more than 3 years)
- They last over a period of time
- They do not wear out easily
- Can be rented



CONSUMER GOODS

CONSUMER NON - DURABLES



CIGARETTES



PETROL



STATIONERY



TOOTHPASTE

- Also known as “soft goods”
- Life span of less than 3 years
- Immediately consumed
- Cannot be rented
- Comes under the consumption demand of goods





CONSUMER GOODS

CONSUMER NON - DURABLES

↓
FMCG



MILK



FRUITS



TOOTHPASTE



COCA-COLA

- Fast Moving Consumer Goods
- High volumes/ low margins
- Normally low price
- Frequent purchases
- Must for regular consumption
- Shorter period of life
- Sold quickly





FINAL GOODS & INTERMEDIATE GOODS



TRUCK

FINAL GOODS



RUBBER



STEEL

INTERMEDIATE GOODS





STOCK AND FLOW



HOUSE

LAND



GOLD

These properties are as on 1st Jan, 2017

STOCK



Salary of Rs. 50,000 per month is
example of flow

FLOW





STOCK AND FLOW



STOCK



FLOW



STOCK AND FLOW

STOCK



MACHINERY IN TEXTILE MILL

FLOW



OUTPUT



PROFIT



MONTHLY SALARY



GROSS FIXED CAPITAL FORMATION

1



EXPRESSWAY

2



GOVT. BUILDING

3



EAST COAST RAILWAY
HEAD QUARTERS



GROSS FIXED CAPITAL FORMATION

4



AIRPORT

5



LARGE BRIDGE

6



TEXTILE MACHINERY

**GROSS CAPITAL FORMATION****GROSS FIXED CAPITAL FORMATION**

- Value of new machinery and equipment
- Value of new construction activity

CHANGE IN STOCK

- Change in stocks or inventories.
- It also tracks changes in raw materials, semi-finished and finished goods.





INVENTORIES

YEAR 2017



-



=



1,000 COMPUTERS
MANUFACTURED

-

500 COMPUTERS
SOLD

=

500 COMPUTERS IS THE
INCREASE IN INVENTORY



NET FIXED CAPITAL FORMATION

GROSS FIXED CAPITAL
FORMATION - DEPRECIATION



NEW TEXTILE MACHINERY



OLD TEXTILE MACHINERY



DEPRECIATION



OLD TEXTILE MACHINERY

- Annual allowances for wear and tear of a capital good.
- It is the concept of the cost of good divided by number of years of its useful life (assumed for simplicity sake)
- It is accounting concept
- It is annually accounted for, though no real expenditure is incurred every year.
- It is consumption of fixed capital.



DEPRECIATION



OLD TEXTILE MACHINERY

- Depreciation does not take into account unexpected or sudden destruction or disuse of capital in case of accidents / natural calamities etc.
- There are thousands of enterprises and replacement of capital stock takes place regularly and hence, yearly allowance is broadly in consonance with the actual replacement.



KEY TERMINOLOGY IN ECONOMY



GOODS

CONSUMER GOODS



Car



AC



Tooth Paste

CONSUMPTION EXPENDITURE

CAPITAL GOODS



TEXTILE MACHINERY



EXPRESSWAY

INVESTMENT EXPENDITURE





WHY INVESTMENT EXPENDITURE IS IMPORTANT?

CASE 1





WHY INVESTMENT EXPENDITURE IS IMPORTANT?

CASE 2





FACTORS OF PRODUCTION

1 HUMAN LABOUR



WAGES

2 CAPITAL



INTEREST



FACTORS OF PRODUCTION

3

LAND



RENT

4

ENTREPRENEURSHIP



PROFIT



CIRCULAR FLOW OF INCOME

ASSUMPTIONS

1 NO GOVERNMENT



सत्यमेव जयते



2 NO SAVINGS

भारतीय डाक



India Post



3 NO EXTERNAL TRADE



IDEAL SITUATION

1

Aggregate expenditure on goods and services produced by the firms in the economy

EQUALS

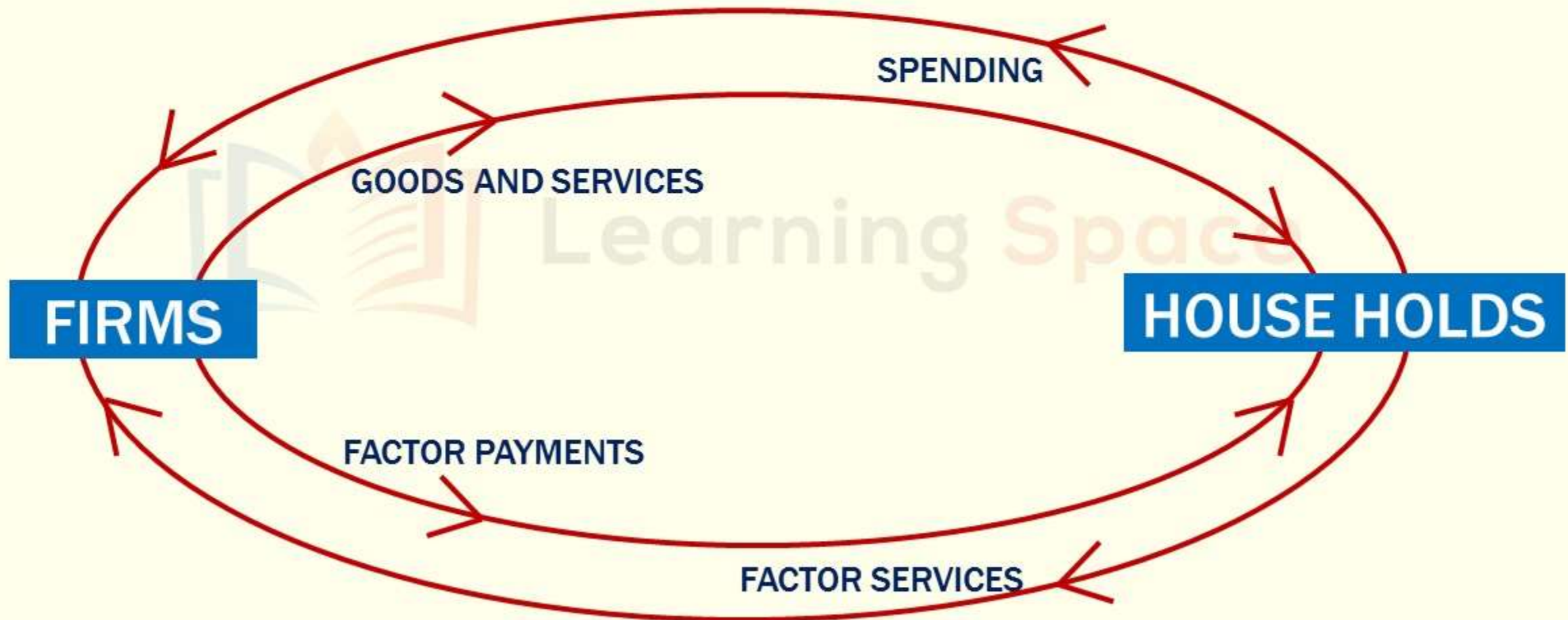
2

Aggregate consumption by the households of the economy





CIRCULAR FLOW OF INCOME





FACTOR PAYMENTS



Payments made to the scarce resources or the factors of production in return for production services

TRANSFER PAYMENTS



Payments for which no good or services exchanged

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SINCERE THANKS
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